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Module 2

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Corporate Finance

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Objective

The objective of this report is to do an overall analysis of Burberry PLC Group based on the three day Corporate Finance course taken at NYU by Professor Aswath Damodaran as part of TRIUM Executive MBA Program.

Assumptions

The following assumptions are made in doing the Corporate Finance analysis of Burberry PLC Group.

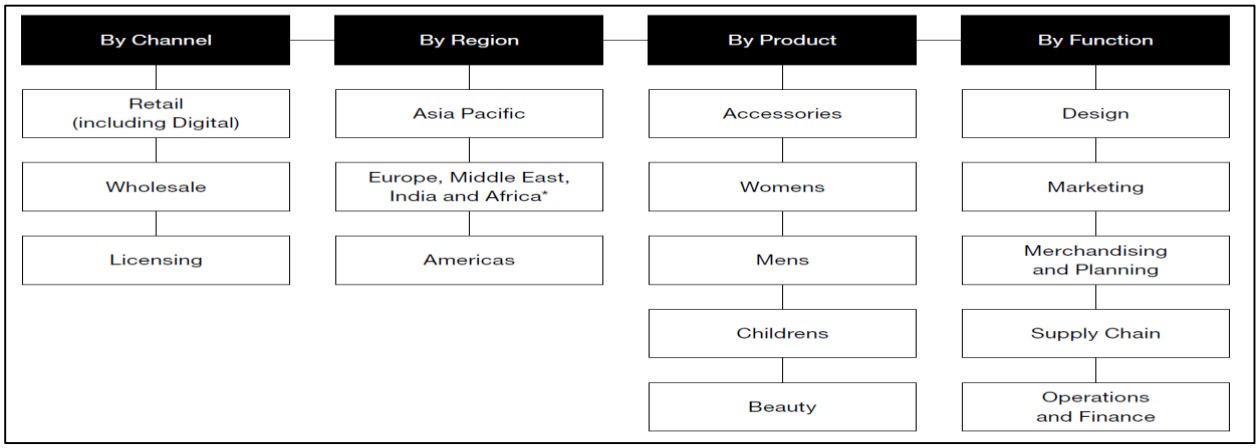
- The analysis is based on the numbers until March 31, 2014.
- All numbers are primarily taken from the Bloomberg packet for Burberry PLC Group.
- Financial statements of the last three years have been referred to get company information that was not found in the Bloomberg packet. Appropriate reference are made in the report.
- "Single Business – Global" approach is used to calculate all the betas because the company has only one business with multiple revenue streams – Retail, Wholesale, License. There are no industry averages available for fashion retail with individual revenue streams.
- The industry category is used "Retail (General)" as there is no "Fashion (Retail)" category available in the sample excels. The global averages in the "Retail (General)" industry would be influenced by the retail industry in general not particularly focused on Fashion Retail industry.
- The brand has grouped its financial data into three regions: Asia Pacific, EMEIA (Europe, Middle East, India and Africa) and Americas (North America, Central and Southern America). To calculate the ERP of the company, the revenues of EMEIA and Americas have been split up based on online research as there is no direct split available.
- Currency of Analysis is British Pound £.
- Period of regression is June 6th 2012 – January 5th 2014.
- Operating lease is provided as one number for Year 2 to Year 5. For simplicity sake, the number is divided equally for all the four years.
- Debt Distribution – There is no information on annual debt and ST debt. The Bloomberg packet has only one amount of £300 million due 2019. This is what is used in the 1.numberchecker.xls file to calculate maturity of the debt.
- Four excel files - 1. numberchecker2015.xls, 2. capstru2015.xls, 3. Dividends2015.xls, 4. BurberryRatios and 5.Valuation2015.xls are attached containing additional details. All important numbers and calculations are highlighted in the report.
- The marginal tax rate for UK in 1.numberchecker.xls is 21% where as in 2.capstru.xls it is 24%. For consistency sake, the Marginal Tax Rate in 2.capstru.xls is updated to 21% and therefore this rate is used in the all the worksheets.

Burberry's Short History

Burberry is a luxury British fashion house established in 1856 by Thomas Burberry and headquartered in London. Since the invention of gabardine by Thomas Burberry more than 150 years ago, outerwear has been at the core of the business, and remains so today – best expressed through the iconic Burberry trench coat. The brand manufactures clothing, fragrances, and fashion accessories. Burberry's distinctive check pattern is one of the most widely known trademarks in the world. Burberry was an independent company until 1955, when it was taken over by Great Universal Stores (GUS). In the 70s the brand was strongly associated with football firms, hooliganism and later the 'chav' stereotype, gaining negative connotation. Since then, the brand as tried to re-invent itself by massive advertising, celebrity endorsements and much more. In 2006, when Rose Marie Bravo retired and Angela Ahrendts took over the company, the check was placed back on the inside of the garments and British celebrity endorsements helped gain a positive view of the brand once again.

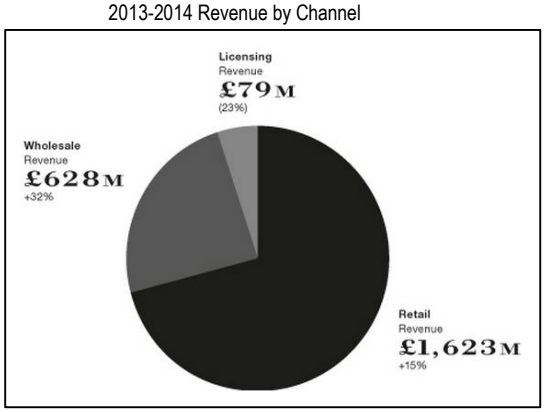
The business is structured by channel, region and product division supported by core corporate functions.

Operating Model



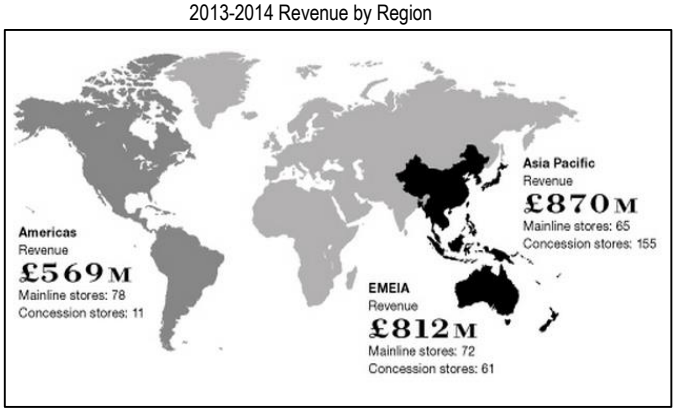
[Source: Burberry Annual Report 2013-2014]

2013-2014 Revenue by Channel



[Source: Burberry Annual Report 2013-2014]

2013-2014 Revenue by Region



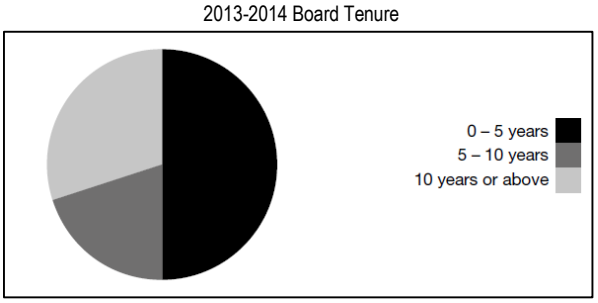
[Source: Burberry Annual Report 2013-2014]

For 2013-14, Asia Pacific represented 39% of retail/wholesale revenue, Europe, Middle East, India and Africa (EMEIA) 36% and Americas 25%.

Corporate Governance

Burberry is an organization where institutional investors are clearly dominant. The company has 533 institutional investors owning ~$495 million worth of shares, with more than 98% of the outstanding stock held by these institutions and only .36% held by insiders. [Source: Bloomberg]
The largest investor in the company is the world's largest investment management organizations – "Capital Group Companies" and all the top twenty investors are institutions. Given this scenario, I would expect that the marginal investor in Burberry PLC Group to be a well-diversified institutional investor.

The company's board consist of currently consists of 10 members – the chairman, the Chief Creative and Chief Executive Office, the Chief Operating Officer, the Chief Financial Officer and six independent non-executive directors.



[Source: Burberry Annual Report 2013-2014]

The board tenure graph clearly shows that there is frequent rotation of board members. At the time of the 2014 Annual General Meeting, Sir John Peace, Philip Bowman and David Tyler will have served on the Board for 12 years. There has been no extraordinary increase in the board's compensation except for a one-off, performance based grant of 500,000 shares to Christopher Bailey for taking on the CEO responsibility.

Risk – Marginal Investor and Hurdle Rates

Since the marginal investor is well diversified, I have looked at only market risk while estimating the cost of equity. The market risk is measured with the market beta. Since the regression beta had a large standard error (.137 on a beta estimate of .987), I have used a bottom-up beta estimate for Burberry using the "Single Business – Global" approach because Burberry is single business brand – selling luxury merchandize. The company has three revenue streams – Retail (including digital), Wholesale and Licensing.

Current Market Value of Equity - £7,144,200,000
Current Market Value of Debt - £144,113,289
Current Market Debt to Equity Ratio – 2.02%
Regression Beta – 0.987
Equity Risk Premium (weighed based upon region) = 7.65%
Using the above values I have estimated the bottom-up levered beta of 0.74 for Burberry.
Using a T-bill rate of 1.33% for UK and a risk premium of 6.35%

Cost of Equity = Risk Free Rate + Risk Premium * Beta (bottom-up levered)
= 1.33 + 7.65*0.74
= 7.01%

Since the regression beta has large standard error, I will go with the Cost of equity based on the bottom-up levered beta.

Burberry is not rated at Bloomberg but because it has an annual turnover of more than £5 billion, it is a type 1 company. Based on the type of the company and its interest coverage ratio of 146.25, the company gets a synthetic rating of 'AAA'.

In conjunction with Burberry's after-tax cost of borrowing of 1.68%, which is estimated based on its rating above, I estimate a cost of capital for the firm of 6.90%

Cost of Capital = Cost of Equity * (1 – Market D/Capital) + After-tax cost of debt * (Market D/Capital)
= 7.65% * (1 – 1.97%) + 1.68% *(1.97%)
= 6.90%

I used a 21% marginal tax rate for UK to compute the after-tax cost of debt.

Current Financial Analysis

For this section please refer to the accompanying excel file 5.Burberry Ratios.xlsx.

Ratios for the period of 2011 to 2014

- Return on Equity has been declining significantly from 56% in 2011 to 29% in 2014.
- Return on Assets has been declining from 30% in 2011 to 18% in 2014.
- Leverage (Assets to Equity) is fairly stable averaging at 1.76.
- Net Profit Margin has been consistent at an average of 20%.
- Asset Turnover (Sales to Total Assets) – has decline by 40% averaging at 1.03
- Return on Capital Employed (ROCE) – has significantly decline from 65.97% in 2011 to 34.45% in 2014. Although from 2013 ROCE has improved meaning that Burberry is bouncing back and is able to generate more profits from its assets and liabilities.
- Net Operating Assets Turnover (NOAT) – has been declining since 2011 but still holding up healthy at 3.03 in 2014.
- PPE Turnover - has been declining since 2011 but still holding up healthy at 4.11 in 2014.
- Net Working Capital Days – is improving. Not so high but positive at 12.75 days. Burberry can certainly improve its Days of inventory which are at 133 days in 2014.
- Current Ratio – is improving and is at 1.82 in 2014.
- Net Debt to Equity Ratio – is has reduced to half from 22% in 2011 to 11% in 2014.
- EBIT Margin – has declined a bit but still fairly high at averaging 27%.
- Gross Margin % – has been consistently on the rise since 2011 and standing tall at 71.2% in 2014. [source: http://financials.morningstar.com/]
- Interest Coverage – has more than doubled from 58.98 in 2011 to 134.50 in 2014. [source: http://financials.morningstar.com/]

Sales of Burberry has risen constantly in this period. A big jump happened between 2010 and 2011 when the company decided to start a big restructuring plan in the Spanish market, where it was losing market and also rebounding form the 2008 global financial crisis.
Burberry has greatly increased its assets from £1,364 million in 2011 to £1,966 million in 2014. As a result, total equity has also increased significantly over the same period from £367 million in 2011 to £1,131 in 2014.

Investment Analysis and Stock Price Performance

Burberry is a fashion house and is typically involved in design projects designing and then producing collections for every year for spring, autumn and winter season. Burberry is also heavily involved in participating and organizing international fashion shows. While I do not have data breakdown for each such project, I can measure Burberry's return on capital as one firm. In 2014, Burberry earned a pre-tax operating income of £468,000,756 on a book value of capital invested of £756,200,715. The after-tax return on capital based upon these numbers is 46.27%

Return on Capital = EBIT (1-t)/Book Value of Capital from 2013-2014 where *t = effective tax rate*
= £468,000,756 (1- 25.23%)/£756,200,715
= 46.27%

Relative to the cost of capital of 6.90%, Burberry is enjoying a big earnings in excess returns of 39.37% and a positive EVA

EVA = (.4627 - .0690) £756,200,715 = £297,716,204

This helps in explaining that Burberry's stock has been a good investment in the last four years when it earned 13% higher than expected each year. (Intercept of the regression/1- regression beta = .174/ (1-.987) =13%).

What might account for Burberry's excess returns? The firm clearly has competitive advantage in the luxury market with its international recognition and broad appeal. Additionally, Burberry has a unique history and positioning as the authentic British lifestyle brand. It has a highly successful merchandising and marketing strategy across both apparel and accessories, diversified distribution channels and geographic profile, proven international management team and most important of all Burberry did not limit itself to embracing modern technology only in its stores - it aggressively exploited the opportunities offered by the Internet, digital marketing and social media by making its online experience just as distinctive and 'branded' as its in-store experience. By doing so, it also widened its reach to a wide global audience.

To maintain its excess returns, Burberry should focus on the following:

- Continue to ride on the British heritage. It's appealing to the world.
- Focus on the younger generation, target the millennial market.
- Keep the brand globally unified.
- Continue to expand internationally, especially Asia which brings the largest share of the revenues, has the largest youngest population than anywhere else and a burgeoning middle class with deeper pockets than before.
- Re-launch new designs for products that are historically associated with the brand like the trench coats, cashmere scarves and ponchos.

Capital Structure

Burberry's current financing mix is 1% debt and 99% equity. Its debt is a mix of short-term (interest bearing debt) and long-term (operating leases) with a weighted maturity of 5 years. 17% of the debt is interest bearing debt and the rest is split up between various long-term debts like operating leases. Following are some factors in the trade-off on borrowing:

Factor	Disney
Tax Benefit	Burberry has a marginal tax rate of 21% and an effective tax rate of 25.23%
Added Discipline of Debt	Burberry has become a stable firm over the last 5 years. While 98% of its stock is owned by institutional investors, no individual stockholder or institution is large enough to have much say in the management. The firm significant cash flows and is currently at its optimal debt with the lowest possible cost of capital, cost of equity and cost of debt. The firm should not take more debt. It should use the current debt strategically to increase revenue and equity.
Bankruptcy Risk	Burberry's license business in international markets is volatile but a large portion of the cash flows (especially cash flows form retail and digital) are stable and steadily increasing. The bankruptcy risk should be very low.
Future Flexibility	The need for financing flexibility will arise if Burberry decides to go into other businesses, or launch a brand new product range or speeds up its already aggressive international growth strategy. Although this will not come cheap.

Debt Ratio	Cost of equity	Cost of debt	Cost of Capital
0.00%	7.01%	1.68%	7.01%
10.00%	7.64%	13.70%	8.24%
20.00%	8.42%	13.71%	9.48%
30.00%	9.44%	13.72%	10.72%
40.00%	10.79%	13.72%	11.96%
50.00%	12.68%	13.72%	13.20%
60.00%	15.52%	13.72%	14.44%
70.00%	58.08%	13.73%	27.03%
80.00%	29.70%	13.73%	16.92%
90.00%	58.08%	13.73%	18.16%

Based on the capital structure analysis, Burberry is at its optimal cost of capital and the lowest possible Cost of debt. It should not increase its debt because that would reduce the company's value significantly, leading to a drop in company's ratings therefore becoming vulnerable to drop in its operating income. I do not believe that Burberry is a potential takeover target, because of its £8.5 billion market capitalization and a positive stock price performance (positive Jensen's alpha of 2.10%). Given the quality of its design collection projects (as shown by the

EVA = £297,716,204 estimated in the previous section), I would recommend that Burberry uses its current debt optimally and strategically towards growth and expansion, thereby increasing revenues and equity, so it does not need more debt. In fact, I would recommend that Burberry fixes the exchange rates on its international lease agreements to be less vulnerable to currency fluctuations. Burberry should continue with its constant 12 month exchange rate strategy with its suppliers to minimize impact on revenue due to currency volatility.

Dividend Policy

Burberry has been paying dividends every year for the last six years from 2009 to 2014 with an aggregate dividend payout ratio of 45.53% and an average yield of 12.6%. Burberry has also bought back stock every year. In year 2010 and 2011 Burberry has paid dividends way beyond the free cash flow available in the company, when dividends are compared with free cash flows to equity. 2012 and 2013 saw a fairly high amount of free cash flow paid out as dividends whereas 2014 saw a decline, although considerably reasonable.

Year	FCFE	Dividends + Stock Buybacks	Cash Paid as % of FCFE	Payout Ratio (Dividends/Net Income)
2009	£11	£57	-528.70%	- 861.67%
2010	£5	£60	1200%	64.50%
2011	£3	£74	2960%	32.34%
2012	£254	£157	61.70%	36.42%
2013	£227	£160	70.50%	44.63%
2014	£375	£155	41.42%	40.53%

To make a judgment on Burberry's management to use its cash wisely and how comfortable stockholders are with the current payout ratio, I judged the current management on three dimensions: Corporate Governance, Stock Price Performance, & Investment Policy. Each of these dimensions have been discussed in the report earlier.

Corporate Governance – Burberry's management has been willing to listen to their stockholders and have consistently put stockholder interests above their own. The fact that 98% of the company stockholders are institutional investors sends a strong signal that Burberry's management has no personal vested interests above the business and stockholders.

Stock Price Performance – For the last six years Burberry has had returns on its stock between 9% and 18% with an average of 13% relative to the market earning itself a fairly large leeway on the dividend policy.

Investment Policy – In this section we analyzed whether Burberry's investments have measured up in terms of delivering returns on equity to investors that exceed the required rate of return. The analysis showed that Burberry had a return on capital of 46.27% and an EVA of £297,716,204.

In summary, Burberry has earned itself credibility on dividend policy by faring well on all three dimensions with strong governance, strong stock price performance and returns on its investments. Burberry will continue to enhance its menswear offering and newly integrated fragrance and beauty operations. The strength of the Burberry brand contributed 17% revenue growth in 2014. Burberry needs to use some of the extra cash on market innovation projects, technology and transformation of the Japanese business which is currently just breaking even.

Valuation

The present values of free cash flows to the firm and the present value of the terminal value are computed and the sum is:

Value of Burberry – £18, 334.66 million

If the market value of existing debt of £855.89 million is subtracted and the cash of £546 million is added, I arrive at the value of equity for Burberry to be £18,024.77 million.

The value of equity per share is computed by diving the number of shares outstanding:

Value of Equity per share = £18,024.77/444.6 = £41

Thus, the valuation suggests that Burberry stock is way overpriced at £1921

Summary of assumptions for Valuation

	High Growth Phase	Transition Phase	Stable Growth Phase
Length of Period	5	5	Forever after 10 years
Revenues	Current Revenues: £2330 million Expected to grow at the same rate at operating earnings	Continues to grow at the same rate as operating earnings	Grows at stable growth rate
Pre-tax operating margin	Current 27% of revenues, based on 2014 EBIT of £468 million	Stays stable at 27% of revenues	Stable margin of 27% assumed
Tax Rate	21%	21%	21%
Return on Capital	46.23% - 2014 level	Stays stable at an average of 45%	Stable ROC at 45%
Working Capital	22% - 2014 level	20%	20%
Re-investment rate	21% of after tax operating income	Stays around 20%	Declines to 3%
Expected Growth Rate	ROC * Reinvestment rate = 46.23%*21%= 9.8%	Linear decline to stable growth rate	5% based on overall nominal economic growth

Debt/Capital Ratio	1.97%	Stays table at 1.97%	Stays table at 1.97%
Risk Parameters	Beta - .73 Cost of Debt – 1.68% T-bill rate – 1.33% Cost of Capital – 6.90%	Beta stays stable Cost of debt stays stable at 1.68%	Beta stays stable Cost of debt stays stable at 1.68%

References

http://markets.ft.com/research/Markets/Tearsheets/Financials?s=BRBY:LSE
http://financials.morningstar.com/ratios/r.html?t=BURBY&region=usa&culture=en-US#tab-growth